

Updated TDA Manual: Legal Language for Affidavits, Declarations, Certificates, and Security Agreements

Introduction

This updated manual provides comprehensive guidance on the legal language and current standards for affidavits, declarations, certificates, and security agreements relevant to TreasuryDirect Accounts (TDAs). It aims to clarify the requirements and best practices for drafting and utilizing these critical legal documents in accordance with contemporary legal frameworks. This document is intended for informational purposes and should not be considered a substitute for professional legal advice.

Section 1: Affidavits

An affidavit is a formal written statement of fact, voluntarily made by an affiant under an oath or affirmation administered by a person authorized to do so by law. Affidavits are commonly used as evidence in legal proceedings or as a sworn statement of truth for various administrative purposes. For an affidavit to be legally valid, it must adhere to specific requirements:

Key Elements of a Valid Affidavit:

- **Voluntary Statement:** The affiant must make the statement willingly and without coercion.
- **Written Form:** Affidavits must be in writing.
- **Statement of Facts:** The content of an affidavit should be based on facts known to the affiant, not opinions or hearsay, unless specifically allowed by rules of evidence.

- **Oath or Affirmation:** The affiant must swear or affirm before an authorized official (e.g., a notary public) that the contents of the affidavit are true and correct to the best of their knowledge and belief. This is a critical component that distinguishes an affidavit from a simple written statement.
- **Signature of Affiant:** The affiant must sign the document in the presence of the authorized official.
- **Notarization/Certification:** The authorized official must also sign and typically affix their seal, certifying that the affiant appeared before them and took the oath or affirmation.

Updated Language and Best Practices for Affidavits:

Modern legal practice emphasizes clarity, precision, and adherence to jurisdictional requirements. When drafting affidavits, consider the following:

- **Clear Identification of Parties:** Clearly state the full legal name and address of the affiant at the beginning of the document.
- **Specific and Factual Statements:** Each statement within the affidavit should be precise, factual, and directly relevant to the matter at hand. Avoid vague or ambiguous language.
- **Numbered Paragraphs:** For ease of reading and reference, present each distinct factual statement in a separate, numbered paragraph.
- **Inclusion of a Jurat:** The jurat is the clause at the end of an affidavit stating when, where, and before whom the affidavit was sworn or affirmed. It typically includes the phrase: "Subscribed and sworn to before me this [Day] day of [Month], [Year]."
- **Penalty of Perjury Clause:** While the oath or affirmation is central, many jurisdictions also include a statement that the affiant understands they are making the declaration under penalty of perjury. This reinforces the seriousness and legal consequences of making false statements.

Example of an Affidavit Jurat and Perjury Clause:

STATE OF [STATE NAME]
COUNTY OF [COUNTY NAME]

Subscribed and sworn to before me this [Day] day of [Month], [Year], by
[Affiant's Full Name].

[Signature of Notary Public]
[Printed Name of Notary Public]
Notary Public, State of [State Name]
My Commission Expires: [Date]

I declare under penalty of perjury under the laws of the United States of America that the foregoing is **true** and correct.

[Signature of Affiant]
[Printed Name of Affiant]

Importance of Accuracy:

Making false statements in an affidavit can lead to severe legal consequences, including charges of perjury. Therefore, it is paramount that all information contained within an affidavit is accurate and verifiable. If an affiant discovers an error after signing, a new, corrected affidavit should be prepared and properly executed.

Section 2: Declarations

A declaration is a written statement made under penalty of perjury, but typically without the requirement of an oath or affirmation before a notary public. The use of declarations, particularly in federal courts, is authorized by 28 U.S.C. § 1746, which allows unsworn declarations to be used in lieu of affidavits in many circumstances.

Key Characteristics of a Declaration:

- **Unsworn but Legally Binding:** Unlike affidavits, declarations do not require notarization. However, they carry the same legal weight as sworn statements because they include a specific phrase affirming the truthfulness of the content under penalty of perjury.
- **Convenience:** Declarations offer a more convenient alternative to affidavits, especially when a notary public is not readily available.

- **Specific Wording Required:** To be valid, a declaration must contain specific statutory language. The most common phrasing, as per 28 U.S.C. § 1746, is:

"I declare (or certify, verify, or state) under penalty of perjury under the laws of the United States of America that the foregoing is true and correct. Executed on [Date]."

Updated Language and Best Practices for Declarations:

- **Adherence to Statutory Language:** Always ensure the declaration includes the precise wording required by the relevant statute or rule. Any deviation may render the declaration invalid.
- **Date of Execution:** The declaration must include the date on which it was signed.
- **Signature of Declarant:** The declarant must sign the document.
- **Clear Identification:** Similar to affidavits, clearly identify the declarant at the beginning of the document.

Example of a Declaration:

I, [Declarant's Full Name], residing at [Declarant's Address], declare as follows:

1. [Statement of fact 1]
2. [Statement of fact 2]
- ...

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Executed on this [Day] day of [Month], [Year].

[Signature of Declarant]
[Printed Name of Declarant]

When to Use a Declaration vs. an Affidavit:

The choice between a declaration and an affidavit often depends on the specific jurisdiction and the purpose of the document. In federal proceedings, declarations are widely accepted. However, some state laws or specific legal contexts may still require a notarized affidavit. It is crucial to verify the requirements for each particular situation.

Section 3: Certificates

In a legal context, a certificate is a formal document attesting to a fact, event, or qualification. Certificates are issued by authorized individuals or entities and serve as official proof of the information they contain. Examples include birth certificates, death certificates, marriage certificates, and certificates of good standing.

Key Aspects of Legal Certificates:

- **Official Issuance:** Certificates are typically issued by government agencies, courts, or other authorized bodies.
- **Attestation of Facts:** They formally attest to the truthfulness and accuracy of specific facts or events.
- **Legal Recognition:** Properly issued certificates are generally accepted as prima facie evidence in legal proceedings.
- **Authentication:** For use in international contexts, certificates may require further authentication, such as an apostille or legalization, to be recognized in foreign jurisdictions.

Updated Language and Best Practices for Certificates:

While the content of a certificate is largely dictated by its purpose and the issuing authority, understanding the underlying principles of legal documentation is important:

- **Clarity and Precision:** Certificates should be clear, unambiguous, and free from errors.
- **Official Seals and Signatures:** The presence of official seals and authorized signatures is crucial for the validity and authenticity of a certificate.
- **Unique Identifiers:** Many certificates include unique serial numbers or identifiers for tracking and verification purposes.
- **Compliance with Regulations:** Issuing and accepting certificates requires adherence to specific statutory and regulatory frameworks.

Example of a Certificate (General Structure):

CERTIFICATE OF [TYPE OF CERTIFICATE]

This is to certify that:

[Details of the fact, event, or qualification being certified, e.g., Full Name, Date of Birth, Event Date, etc.]

Issued by:

[Issuing Authority Name]

[Address of Issuing Authority]

Date of Issue: [Date]

Certificate Number: [If applicable]

[Signature of Authorized Official]

[Printed Name and Title of Authorized Official]

[Official Seal (**if** applicable)]

Section 4: Security Agreements

A security agreement is a legal document that grants a lender (secured party) a security interest in a specific asset (collateral) of a borrower (debtor) to secure the repayment of a debt. This agreement provides the lender with certain rights over the collateral if the borrower defaults on the loan. Security agreements are governed primarily by Article 9 of the Uniform Commercial Code (UCC) in the United States.

Key Components of a Security Agreement:

- **Identification of Parties:** Clearly identify the secured party (lender) and the debtor (borrower).
- **Granting Clause:** This is the core of the agreement, where the debtor explicitly grants a security interest in the collateral to the secured party.
- **Description of Collateral:** A precise and unambiguous description of the collateral is essential. The description must reasonably identify what is being used as collateral.
- **Obligations Secured:** Clearly state the debt or obligations that the security interest secures.
- **Debtor's Covenants and Warranties:** These include promises made by the debtor, such as maintaining the collateral, not selling it without permission, and

warranting ownership.

- **Events of Default:** Define what constitutes a default by the debtor (e.g., failure to make payments, breach of covenants).
- **Remedies on Default:** Outline the rights and remedies of the secured party upon default, which typically include the right to repossess and sell the collateral.
- **Governing Law:** Specify the jurisdiction whose laws will govern the agreement.

Updated Language and Best Practices for Security Agreements:

- **UCC Compliance:** Ensure the agreement complies with the latest provisions of UCC Article 9, particularly regarding the description of collateral and perfection of the security interest.
- **Specificity in Collateral Description:** While Article 9 allows for broad descriptions (e.g., "all assets"), specific descriptions are often preferred to avoid ambiguity and potential disputes. For TDAs, this would involve clearly identifying the specific account(s) and their contents.
- **Perfection of Security Interest:** A security interest must be "perfected" to be enforceable against third parties. This is typically done by filing a UCC-1 financing statement with the appropriate state authority. The security agreement should acknowledge the intent to perfect.
- **Clear Default and Remedy Provisions:** The terms of default and the remedies available to the secured party should be explicitly stated to avoid misinterpretation.
- **Electronic Signatures:** Modern legal practice increasingly accepts electronic signatures, provided they comply with the Electronic Signatures in Global and National Commerce Act (ESIGN Act) and relevant state laws.

Example of a Granting Clause **in** a Security Agreement (simplified):

For valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Debtor, [Debtor's Full Name], hereby grants to Secured Party, [Secured Party's Full Name/Entity Name], a security interest **in** all of Debtor's right, title, and interest **in** and to the following collateral:

[Detailed description of collateral, e.g., "TreasuryDirect Account Number [Account Number], including all funds, securities, and other financial assets held therein, and all proceeds thereof."]

to secure the payment and performance of all obligations of Debtor to Secured Party, whether now existing or hereafter arising.

Importance of Legal Review:

Security agreements are complex legal documents with significant financial implications. It is highly recommended that both parties seek independent legal counsel to review and understand the terms of any security agreement before execution.

Conclusion

This manual has provided an overview of the current legal language and standards for affidavits, declarations, certificates, and security agreements. Adhering to these standards is crucial for ensuring the legal validity and enforceability of these documents. As legal requirements can evolve, it is always advisable to consult the most current statutes, regulations, and legal professionals for specific guidance.